Grid EA Settings Audit & Stress Test

Grid, martingale and averaging systems do not fail because of a bad setting. They fail because nobody checked what the settings add up to when the market moves one way for long enough. This worksheet does that arithmetic before the account does it for you.

> **A smooth equity curve is not evidence of safety.** Grid systems show small, regular gains for long periods and then a single large loss that removes the account. Leveraged trading of this kind can lose money rapidly; nothing here predicts a result, and no setting makes a grid system safe.

1 — Audit each setting: what it actually controls

Fill the middle column from the EA's own inputs, not from documentation, and the right column from a decision you have already made. If you cannot say what a setting does, set it to its most conservative value or leave the EA switched off until you can.

Setting	What it controls	Your value	Your cap, and why
First lot / base lot	Exposure at level 1		
Grid step (pips)	How far price must move before exposure grows		
Lot multiplier	Growth rate of each added level — the accelerator		
Max levels / max trades	The point at which it must stop, or the point at which it must not		
Take profit per basket	How little it needs to recover, and how rarely that comes		
Stop loss	Whether a loss can be bounded at all — many grids disable it		
Drawdown limit	The automatic circuit breaker, if the EA has a working one		
Trading hours filter	Whether it adds levels into thin or gapping markets		
News filter	Whether it opens through a spike		

2 — Stress scenarios: run all three, in writing

These are the three conditions that break grids in practice. Use your own account balance and contract specification. The purpose is not to predict which happens — it is to know the number in advance.

Scenario	What happens	Your exposure at worst point	% of account	Your action, decided now
Sustained one-way trend	A pair trends 300+ pips over two or three sessions — common around a rate decision			
News spike	60 pips in seconds, spread widening several times normal, fills worse than the chart			
Weekend gap	Friday close to Sunday open with a jump — no price in between to trade out at			

3 — Margin and stop-out: the number that decides the ending

Whether a grid survives to its final level is not decided by the strategy. It is decided by leverage, because leverage sets how much margin each additional level consumes and therefore how much equity is left when the last level opens.

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Margin required per lot = (Contract size x Price) / Leverage
Margin level % = (Equity / Used margin) x 100
Stop-out occurs when Margin level falls to the broker's threshold, commonly 50%
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Worked comparison — EUR/USD at 1.10, $1,000 account

Using a 1.13-lot cumulative position, which is roughly what a 0.01 start reaches by its tenth level on a 30-pip step with a 1.5 multiplier.

Leverage	Margin per lot	Margin used at 1.13 lots	Equity at which stop-out triggers (50%)	Floating loss that causes it	What it means
1:500	$220	$248.60	$124.30	$875.70	Survives past level 10 — then loses most of the account in one event
1:100	$1,100	Not reachable	n/a	n/a	Caps out near 0.91 lots — the tenth level cannot be opened at all

> This is the counter-intuitive part. **Higher leverage does not make a grid safer by giving it room.** It lets the system keep adding levels until the loss is large enough to be unrecoverable. Lower leverage stops it earlier and caps the damage. If your broker offers a choice, the lower setting is the protective one — and a grid EA marketed as needing high leverage is telling you something about its risk.

Your margin numbers

ACCOUNT BALANCE	LEVERAGE ON THE ACCOUNT	CONTRACT SIZE (FROM THE SPEC)
MARGIN PER LOT	MAX CUMULATIVE LOTS YOU ALLOW	MARGIN USED AT THAT SIZE
BROKER STOP-OUT LEVEL (%)	EQUITY THAT TRIGGERS IT	LOSS THAT TRIGGERS IT

4 — Decision record

Complete this before switching the EA on. It is the only version of your judgement that will not be revised by a losing position.

Question	Your answer
Worst-case loss I accept on this account	
Equity level at which I close everything manually	
Maximum levels I permit the EA to reach	
Conditions in which I switch it off entirely	
How I will check it is behaving as expected, and how often	
Demo period completed before live, and its result	

Proceed

Every scenario above has a number I chose, a cap I will respect, and a stop-out figure I can survive without affecting my finances.

Do not proceed

Any scenario has no number, any cap depends on the market being reasonable, or the worst-case loss is money I cannot afford to lose.

SIGNED

DATE

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